TEACHER GUIDE

Cambridge IGCSE Business (0450 / 0264)

Stakeholders and ethics



1 Understanding business activity
1.5 Business objectives and stakeholder objectives; 6.4 Business and ethical issues (0450: 6.2)

A revision lesson. Pupils run a car dealership in firms of four and revise stakeholders and ethics on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

1 Closing a branch

Round 1

You close a loss-making branch. Its 10 staff lose their jobs.

Who gains and who loses?

- **A** Suppliers gain, staff lose
- **B** Staff gain, owners lose
- **C** Customers gain, owners lose
- **D** Owners gain, staff lose

ANSWER

✓ Owners gain, staff lose

Why: Cutting a loss raises owners' profit, but the staff lose their income.

2 Who would object

Round 1

You plan to build a bigger showroom on part of a local park.

Which two groups are most likely to object?

- **A** A local environmental group
- **B** Your shareholders
- **C** Your car suppliers
- **D** Your sales staff
- **E** Local residents

ANSWER

✓ A local environmental group
✓ Local residents

Why: Residents and pressure groups lose the park; the firm's own groups gain.

3 Rank fair wage cost

Round 2

Three branches move staff to a fairer wage.

Order by extra cost a week, lowest first?

- **A** 15 staff, £20 more each
- **B** 6 staff, £80 more each
- **C** 10 staff, £40 more each

ANSWER

1. 15 staff, £20 more each
2. 10 staff, £40 more each
3. 6 staff, £80 more each

Why: £300, £400 and £480 a week: the most staff is the lowest cost.

Topic tasks

4 Fair pay cost

Round 2

You raise pay above what rivals pay.

Extra wage cost a year? 52 weeks.

Staff	**12 staff**
Pay now, each, a week	**£470**
Rise, each, a week	**£35**

ANSWER

£21,840

12 × £35 × 52 = £21,840

Why: Fair pay costs more, but staff are more likely to stay.

5 Green or cheaper

Round 3

A green car-cleaning firm costs £300 more a month. It wins one extra sale a month, £900 profit.

Which firm should you use, and why?

A Your current, cheaper firm

B The green car-cleaning firm

ANSWER

✓ The green car-cleaning firm

Why: One extra sale earns £900 a month, more than the £300 it costs.

6 Above-minimum pay

Round 3

You pay staff well above the legal minimum wage, though rivals do not.

Which pair of effects is most likely?

A Higher wage costs, fewer staff leave

B Lower wage costs, more staff leave

C Lower wage costs, fewer staff leave

D Higher wage costs, more staff leave

ANSWER

✓ Higher wage costs, fewer staff leave

Why: Fair pay costs more, but staff are more likely to stay.

Final questions

Each pupil answers 6 final questions on stakeholders and ethics. They come from these 13 questions.

1 What would make vehicle sourcing more ethical?
✔ **Checking suppliers' labour and environmental practices**

2 Customers increasingly ask how a dealership reduces waste and emissions. This is best described as what influence?
✔ **An environmental influence on business decisions**

3 Residents object to delivery lorries arriving before 6 a.m. Which stakeholder response is most appropriate to consider?
✔ **Discussing quieter delivery times with them**

4 A repair chain claims to use responsibly recycled parts. What action best supports the claim?
✔ **Check suppliers' evidence that the claim is true**

5 A campaign group criticises the dealership's disposal of tyres. What is the strongest response?
✔ **Check its records, fix problems, share evidence**

6 Longer opening hours would bring more sales but late noise for residents. What is the best approach?
✔ **Weigh sales against residents' impact and consult**

7 A cheap supplier cannot show how hazardous waste is handled. What should the CEO consider?
✔ **The legal and reputation risks, not just price**

8 A stakeholder is anyone affected by a business decision. A dealer plans Sunday opening. One side, named for you: customers gain, visiting on a day off. Name the other side.
✔ **Staff lose: they must work a day that was theirs**

9 Before deciding to close the Saturday desk, the CEO lists who is affected: Saturday technicians, Saturday customers and the landlord whose lease sets opening hours. What is this list?
✔ **The stakeholders in the decision**

10 Which group is an internal stakeholder of a car dealership?
✔ **Its employees**

Final questions

11 A dealer plans to keep its workshop open until 10pm. Which stakeholder group is most likely to object?

✔ **Local residents, because of noise late at night**

12 A dealer cuts its staff's pay to raise profit. Which two stakeholder groups now have competing interests?

✔ **Owners and employees**

13 What do a dealer's customers mainly want from it as stakeholders?

✔ **Good-quality cars at fair prices**